MORPHO SOFTWARE, INC.

TERMS OF SALE OF SERIES B PREFERRED STOCK

November 26, 2001

THIS TERM SHEET (the "Term Sheet") outlines the terms and conditions on which **MORPHO SOFTWARE, INC.**, a California corporation (the "Company"), is conducting an offering (the "Offering") of shares of its Series B Preferred Stock, as further described below.

GENERAL TERMS OF THE OFFERING

Security:	Series B Preferred Stock ("Series B Preferred Stock")
Maximum Amount of Offering:	$3,000,000
Maximum Number of Shares:	6,666,667 shares
Minimum Amount of Offering:	$1,500,000
Minimum Number of Shares:	3,333,333 shares
Price Per Share:	Forty-five Cents ($0.45)
Term of Offering:	Commences November 26, 2001, and expires January 31, 2002, subject to the Company's right, in its discretion, to extend the Offering for up to sixty (60) additional days.
Pre-Offering Capitalization:	Immediately prior to the issuance and sale of the Series B Preferred Stock, the Company will be authorized to issue 6,666,667 shares of Series B Preferred Stock (of which no shares shall be issued and outstanding), 4,000,000 shares of Series A Preferred Stock (of which 3,999,997 shares shall be issued and outstanding), and 20,000,000 shares of Common Stock (of which 12,000,000 shares shall be issued and outstanding). The Company's co-founders, Kwang-Ting Cheng and Edward Chang, each holds 6,000,000 shares of Common Stock. The Company has reserved 3,000,000 shares of Common Stock under its Stock Option Plan, which permits the Company either to issue shares of restricted stock or to grant stock options for those shares. The general vesting schedule for shares of restricted stock and stock options granted under the plan is 1/4 vesting after the first year and 1/48th per month thereafter. The Board, in its discretion, may vary that vesting schedule and may grant fully vested shares or options under the Plan. As of the date of this Term Sheet, there are issued and outstanding options for the purchase of 780,000 shares of Common Stock.

RIGHTS, PREFERENCES, AND PRIVILEGES OF PREFERRED STOCK

Dividends: The holders of the Series B Preferred Stock (*pari passu* with the holders of the outstanding shares of Series A Preferred Stock) shall be entitled to receive noncumulative dividends equal to 8% of the purchase price in preference to the Common Stock when, as and if declared by the Board of Directors.

Liquidation Preference: The Series B Preferred Stock is non-participating. In the event of any liquidation or winding up of the Company, the holder of each outstanding share of Series A Preferred Stock and each outstanding share of Series B Preferred Stock shall be entitled to receive, prior and in preference to the holders of Common Stock, an amount equal to the purchase price per share ($0.30 per share for Series A Preferred Stock and $0.45 per share for Series B Preferred Stock) plus any declared and unpaid dividends thereon. Any remaining assets shall be distributed to the holders of the Common Stock. If the assets legally available for distribution to shareholders are insufficient to pay the entire liquidation preference due to the holders of the Series A Preferred Stock and the Series B Preferred Stock, then such assets shall be paid to the holder of each outstanding share of Series A Preferred Stock and each outstanding share of Series B Preferred Stock in the same ratio in which (i) the liquidation preference due to each, *bears to* (ii) the aggregate liquidation preference due with respect to both such shares.

Conversion of Preferred Stock

Optional Conversion. Each share of Series B Preferred Stock may be converted at the holder's option at any time into one share of Common Stock, subject to adjustment (i) for stock splits, Common Stock dividends, and other similar capital adjustments, and (ii) under the anti-dilution provisions described below.

Automatic Conversion. Each share of Series B Preferred Stock will be automatically converted into Common Stock at its then-applicable conversion rate (i) upon the closing of an underwritten public offering of Company stock generating at least $10,000,000 of gross offering proceeds at a price of at least $1.50 per share (subject to proportionate adjustment for future stock splits, dividends or combinations); or (ii) upon the vote or written consent of the holders of at least 66-2/3% of the then-outstanding shares of Preferred Stock.

Anti-dilution Provisions: The initial conversion price for the Preferred Stock shall be equal to the purchase price per share ($0.45 per share). The conversion price of the Preferred Stock shall be subject to weighted-average anti-dilution protection in the event that the Company issues additional shares (other than shares issued to employees, consultants and directors pursuant to plans and arrangements approved by the Board of Directors) at a purchase price less than the then-applicable conversion price. In such event, the conversion price shall be

adjusted according to a standard, broad-based, weighted-average formula.

Voting Rights: The holder of each outstanding share of Series B Preferred Stock shall have the right to that number of votes equal to the number of shares of Common Stock issuable upon conversion of such share of Preferred Stock.

Protective Provisions: In addition to any class vote required by the Articles of Incorporation or applicable law, the Company may not undertake the following actions, except with the vote of the holders of two-thirds (66-2/3%) of the outstanding shares of Preferred Stock: (i) any repurchase of Preferred Stock; (ii) the repurchase of any Common Stock, other than buybacks related to employee plans approved by the Company's Board of Directors or the Restricted Stock Agreements with the Company's co-founders; or (iii) the creation of shares (or securities convertible into shares) having dividend, liquidation or other rights or preferences superior to the Series B Preferred Stock. The Company may not reissue any reacquired Series B Preferred Stock.

Board of Directors: The Company's Board of Directors shall consist of three (3) persons. One (1) member of the Board shall be elected by the holders of the Series B Preferred Stock, voting as a separate class, and the remaining two (2) members of the Board shall be elected by the holders of the outstanding shares of Common Stock and Series A Preferred Stock, voting together as a single class.

TERMS OF INVESTORS RIGHTS AGREEMENT

Information Rights: So long as an investor holds not less than 300,000 shares of Series B Preferred Stock (or Common Stock issued upon conversion of the Preferred Stock), the Company shall deliver to such investor unaudited quarterly financial statements and unaudited annual financial statements, all prepared in conformity with generally accepted accounting principles; *provided*, however, that these obligations shall terminate at the Company's initial public offering.

Registration Rights: *Demand Registration:* If, at any time after the earlier of June 30, 2004, or six months after the Company's initial public offering (but not within six months of the effective date of a registration statement), investors holding shares of Series A Preferred Stock and Series B Preferred Stock (or Common Stock issued upon the conversion thereof) (collectively, the "Registrable Securities") representing in the aggregate at least thirty-three percent (33%) of the number of shares of Registrable Securities then outstanding may request that the Company file a registration statement for such shares. The Company will use commercially reasonable efforts to cause such

shares to be registered. The Company shall not be obligated to effect more than two registrations under these demand right provisions.

"Piggyback" Registration: If any time the Company determines to register its securities, the holders of Preferred Stock shall be entitled to have the Company include in such registration the shares of Common Stock issued upon conversion of their Preferred Stock. The Company and its underwriters shall have the right to terminate or withdraw any registration initiated by the Company or to reduce the number of shares proposed to be registered in view of market conditions.

S-3 Demand Rights: If available for use by the Company, the holders of at least 33% of the then-outstanding shares of Registrable Securities will be entitled to one S-3 registration (to remain effective until the registered shares are sold or three months, whichever comes first) every twelve months, provided that the anticipated aggregate offering price, net of discounts and commissions, would exceed $500,000.

Expenses: The registration expenses (exclusive of underwriting discounts and commissions) and fees of a single special counsel to the selling investors in each demand and piggyback registrations shall be borne by the Company.

Other Provisions: Registration rights terminate five years after consummation of the Company's first underwritten public offering. The registration rights may be transferred to a transferee who acquires at least 100,000 shares of the Preferred Stock (or Common Stock issued upon conversion thereof), *provided that* the Company is given written notice thereof. All investors agree not to sell any shares of the Company's capital stock or other securities for a period of 180 days following the Company's initial public offering *provided that* officers and directors are similarly bound. The above-described rights expire with respect to any holder at such time as all such Holder's stock can be sold within a three month period pursuant to Rule 144.

Preemptive Rights: In the event that the Company issues equity securities or securities convertible into or exercisable for equity securities (other than options and shares of restricted stock issued, with the approval of the Company's Board of Directors, (i) to employees, consultants, directors; (ii) to strategic partners, licensors, lenders, licensees, and equipment lessors, and other similar parties in transactions not primarily intended as an equity-raising transaction; (iii) in a merger or other similar acquisitive transaction; (iv) pursuant to a registration statement; or (v) upon conversion of Preferred Stock), each holder of shares of Preferred Stock shall be given the right to purchase a percentage equal to its fully- diluted percentage ownership of the

Company immediately prior to the commencement of such offering. This right shall terminate at the Company's initial public offering with aggregate proceeds of at least $10,000,000.

AGREEMENTS WITH CO-FOUNDERS

Consulting Agreement: Each co-founder has executed with the Company a Consulting Agreement under which the co-founder has agreed to work for the Company an average of one (1) day in each week, and will receive consulting fees of $40,000 per year plus reimbursement of Company-related expenses. Each Consulting Agreement has a three-year term, and may not be terminated by the Company except for cause. If the Consultant resigns for "good reason" (*i.e.*, the Company without the co-founder's consent either (x) reduces the co-founder's compensation, (y) materially reduces his authority, or (z) requires the co-founder to relocate his principal place of work more than 20 miles from its current location in Santa Barbara, California), then the Company remains obligated to pay the consulting fees due for the remainder of the term of the Consulting Agreement.

Restricted Stock Agreement: Each co-founder has executed with the Company a Restricted Stock Agreement to which his shares of Company Common Stock are subject. Under that Agreement, each co-founder (i) was fully vested in 10% of his shares (*i.e.*, 600,000 shares) as of January 18, 2001, and (ii) thereafter becomes vested in the remaining 90% of those shares (*i.e.*, 5,400,000 shares) at a rate of $1/36^{th}$ per month over the 36-month period commencing as of February 1, 2001 subject to his continuous service as a part-time consultant to the Company. If a co-founder dies, becomes disabled, is terminated for "cause," or resigns, then the Company is entitled to repurchase any then-unvested shares at a price of $0.0001 per share. Each co-founder's shares will become fully vested if (x) the co-founder's consulting engagement is terminated by the Company without cause, (y) the co-founder resigns for "good reason" or (z) there is a change of control of the Company.

MISCELLANEOUS

Multiple Closings: The Company may conduct multiple closings. All closings will occur through the offices of the Company's counsel, Reicker, Pfau, Pyle, McRoy & Herman LLP, which will act as escrowee of funds deposited by investors pending the satisfaction of closing conditions for each closing.

Definitive Agreements: Closing is subject to (i) approval of the holders of two-thirds (2/3rds) of the outstanding shares of Series A Preferred Stock and a majority of the outstanding shares of Common Stock, and (ii) execution of mutually acceptable forms of (A) a Stock Purchase Agreement, (B) an

Amended and Restated Investor Rights Agreement, and (C) Amended and Restated Articles of Incorporation. The Stock Purchase Agreement will contain additional provisions customary in transactions of this type, including various representations and warranties by the Company, conditions to closing, *etc*.

Non-Binding: This Term Sheet is not intended to be an offer to sell, and shall not create a binding obligation for the Company to issue or for any investor to purchase any shares of Series B Preferred Stock or other equity securities of the Company.

EXECUTED by the Company on the date set forth below

MORPHO SOFTWARE, INC.

_____ By_____

Date Kwang-Ting Cheng, Chairman